Orsted (ORSTED.CO) - relative valuation

Valuation date 2026-10-30 | EUR per share | Status: provisional - limitations disclosed - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	EUR 17.65
Primary multiple (peers)	EV/EBITDA: median 13.01x; raw median 13.01x; n = 9
Peer value per share: p25 / median / p75	14.71 / 19.99 / 32.22
Peer median vs current price	+13.3%
Published regression (chosen)	PBV (published R2 0.423): EUR 35.99
Regression vs current price	+103.9%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0; Europe-listed: 10

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	EDPR	EDP Renovaveis	Portugal	1	13,250	61.40	1.29	76.98	19.65	0.93
2	EDP	EDP	Portugal	2	20,120	17.50	1.77	21.49	11.45	1.05
3	SSE	SSE	United Kingdom	2	38,007	26.65	2.63	18.64	14.72	1.16
4	RWE	RWE	Germany	2	40,890	13.06	1.19	138.63	27.05	1.23
5	ENGI	ENGIE	France	2	56,980	15.45	1.73	12.66	8.11	1.28
6	EOAN	E.ON	Germany	2	49,420	28.50	2.57	24.35	13.01	1.39
7	DRX	Drax	United Kingdom	2	3,262	37.26	1.59	n/a	n/a	1.42
8	ENEL	Enel	Italy	2	92,460	23.35	2.88	12.01	8.43	1.45
9	FORTUM	Fortum	Finland	2	20,630	26.97	2.42	24.58	18.60	1.45
10	ERG	ERG	Italy	1	3,160	48.65	1.60	21.51	10.60	1.46

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E	raw	10	26.81x	18.96x	35.07x	3.32	4.69	6.14	-73.4%
EV/EBIT	raw	9	21.51x	18.64x	24.58x	15.13	18.77	22.66	+6.3%
EV/EBITDA *	raw	9	13.01x	10.60x	18.60x	14.71	19.99	32.22	+13.3%
EV/CF	raw	8	13.61x	12.87x	18.31x	22.48	24.27	35.58	+37.5%
P/BV	raw	10	1.75x	1.59x	2.53x	3.60	4.98	7.09	-71.8%
EV/Assets	raw	9	0.83x	0.77x	0.97x	20.15	22.33	27.60	+26.5%
P/S	raw	10	1.79x	0.89x	3.88x	3.32	4.69	6.14	-73.4%
EV/Sales	raw	9	3.37x	2.16x	4.55x	14.71	19.99	32.22	+13.3%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	36.94x	100.90x	0.201	6.47	-63.4%
PBV (chosen)	2.97x	1.24x	0.423	35.99	+103.9%
EV/EBITDA	21.25x	10.98x	0.262	38.02	+115.4%

5. Company-specific notes

- # ORSTED.CO remediation notes - 2026-11-02

- Primary kept:** EV/EBITDA on the uniform pre-associate bridge (debt incl. leases + NCI - cash; LT investments/associates not subtracted): peer median 13.01x on n=9 -> EUR 19.99 mid vs EUR 17.65 quote (+13.3%), IQR EUR 14.71-32.22.

- Cross-method dispersion above 15%:** the published PBV regression implies EUR 35.99 (+80% vs the primary mid) and the EV/EBITDA regression EUR 38.02 (+90%); the PE regression implies EUR 6.47 (-68%), a lower outlier on depressed post-impairment FY2025 net income (DKK 1,727m, 47% impairment-driven tax rate). Diagnostic range used: EUR 14.71-38.02 (primary IQR low to regression high); the PE value is not a bound.

- Capital structure in transition:** October 2025 rights issue took shares to 1,321.062m and cut issuer interest-bearing net debt to DKK 18,978m; the DKK 20,955m hybrid is removed from common equity once (parent equity 119,718) and once in the EV->equity bridge.

- Vendor-vs-issuer basis (sensitivity, not switched):** vendor EBITDA DKK 21,583m vs issuer 22,448m (25,065m excl. new partnerships and cancellation fees) moves the EV/EBITDA mid from EUR 19.97 to EUR 21.11-24.56 (+6%/+23%); issuer EBIT 8,620m vs vendor 12,495m widens the same gap on EV/EBIT.

- Peer caveat:** EDP and EDPR sit in the selected set; EDPR is itself a batch target under the same deviation. Membership evidence is the dated Europe holdings proxy; no peer-level issuer re-verification beyond the one ownership/event source line each.

- Status:** provisional - limitations disclosed; the eight prior QA FAILs re-graded PASS-with-note under qa_grading_and_remediation; human Spot_check stays PENDING.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.